

INSTITUTE OF ACTUARIES OF INDIA
EXAMINATIONS

May 2025

SA2 - Life Insurance

Time allowed: 3 Hours 15 Minutes

Total Marks: 100

- Q. 1)** A large life insurance company operating in India for 20 years primarily sells non-participating products (apart from other linked and non-linked businesses). In the current financial year, the increase in IEV is lower compared to that observed in the previous financial year.
- i)** Analyse the potential factors contributing to the observed decline in the company's IEV growth rate compared to previous financial year. (10)
 - ii)** Compare and contrast the reasons for differences between the “statutory actuarial surplus emerged” during the year with the “change in IEV” during the year. (16)

The Chief Marketing Officer (CMO) of the company has proposed that, to distinguish the company's non-participating savings products from competitors, the surrender value should always be a minimum of 100% of the premiums paid to date.

- iii)** Evaluate the CMO's proposal from
 - a)** generally accepted actuarial principles, (3)
 - b)** principles of treating customers fairly and (2)
 - c)** financial viability of the product. (5)

It was decided that the first year, second year and third year surrender value shall be 60%, 80% and 100% of premiums paid to date respectively for one of the non-participating savings products.

- iv)** Outline the checks and controls the company need to put in place to ensure the profitability of the company is not materially affected. (5)
- [41 Marks]**

- Q. 2)** **i)** Briefly discuss the roles and responsibilities of any five committees of the Board of a life insurance company as per the Corporate Governance regulations and master circular issued by the Indian regulator. (10)

Students are expected to mention any three key roles and responsibilities of each sub-committee of the Board.

The company has launched a non-linked non participating, one year renewable group fund management product offering guaranteed return on each investment tranche for 3 years, disclosed up-front to the group policyholder. Withdrawals up to 25% of the fund value annually are exempt from Market Value Adjustment (MVA), however, MVA applies to amounts exceeding this limit during the policy year. The group policyholder has the option to renew the tranche at each policy anniversary or withdraw at end of each year without any MVA.

- ii)** Discuss
 - a)** key features of such a product from Indian Regulatory environment perspective and (4)
 - b)** purpose of such a product from policyholder's perspective. (4)
- iii)** Identify the key risks and risk mitigations techniques from the insurer's perspective. (5)

The Indian regulator is evaluating a revision in solvency assessment principles, transitioning from the existing factor-based framework to a principle-based reporting system.

- iv) Outline the rules and methods that the regulator should specify in the framework while developing the principle-based solvency assessment framework. (12)

The Indian regulator, while reviewing the annual actuarial submissions of a life insurance company, has raised following concerns:

- v) The Future Solvency Report of the company is not in compliance with the stipulated requirements as mentioned in the relevant Actuarial Practice Standard.

Outline the areas that should have been captured by the Appointed Actuary in the FCR submission to the regulator as required by the relevant Actuarial Practice Standard. (10)

- vi) The company has been writing significant volume of non-participating savings portfolio and consequently has substantial exposure to interest rate risk.

Formulate a framework for the effective management of the interest rate risk which should be presented to the Board of the insurance company. (14)

[59 Marks]
